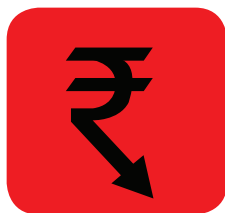


THE GREAT DEPLETION

India's foreign exchange reserves fell 5.7 per cent from December 31, 2021, to \$597.73 billion on April 30. Reasons: depreciation in the rupee's value, a rising crude oil import bill, and aggressive attempts by the RBI to arrest the rupee fall by selling dollars. Geopolitical uncertainty and high energy prices mean the situation is unlikely to change soon.

—MANISH PANT



COOLING INFLATION

The government's cut in excise duty on fuel—₹8 per litre on petrol and ₹6 per litre on diesel—and subsidy of ₹200 per gas cylinder (up to 12 cylinders) will cost the exchequer more than ₹1 lakh crore. But economists favour the move. "The fiscal cost, while material, can be absorbed by higher than budgeted revenues through other taxes," says Aditi Nayar, Chief Economist of ICRA, adding that the excise cut would cool inflation. She also projects that retail inflation will be at 6.5-7 per cent in May.

—RAJAT MISHRA



State of Start-ups

STATES ARE NOW loosening their wallets for start-ups. According to Startup India, 30 of India's 36 states and Union Territories have dedicated start-up policies. The latest additions are Delhi and Madhya Pradesh (MP). On May 5, the Delhi Cabinet approved the implementation of its start-up policy with an aim to make Delhi a chosen destination for start-ups by 2030. And on May 13, MP's Startup Policy and Implementation Plan - 2022 was announced. Among other things, it aims to promote 200-plus start-ups in agriculture. Interestingly, nearly half the 1,900 start-ups in MP are founded by women entrepreneurs.

—NIDHI SINGAL



A WEAK DEBUT

The much-watched IPO of LIC had a subdued debut on May 17. Shares of the company listed at a discount of 8 per cent against the issue price of ₹949. But market watchers believe LIC is a decent investment in the short- to medium term considering its valuation, market presence, future profitability and strong sector growth outlook.

—RAHUL OBEROI

| 13

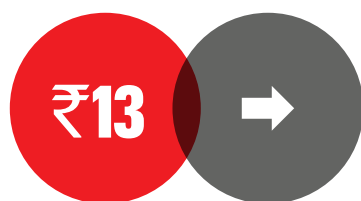
THE RISING

After the fall, the rise. After falling by 12 million in the preceding three months, around 8.8 million people joined the country's workforce in April, according to data from the Centre for Monitoring Indian Economy (CMIE). This is one of the biggest labour market expansions since the advent of the Covid-19

pandemic. The rise took India's labour force count to 437.2 million in April. That is a significant jump, especially considering that in 2021-22, the average monthly increase in the country's labour force was 0.2 million, data from CMIE says. Signals of an economic recovery in the works?

—RAJAT MISHRA

PHOTO BY CHANDRADEEP KUMAR



LAKH CRORE FALL IN MARKET CAPITALISATION OF BSE-LISTED FIRMS ON A MONTH-TO-DATE BASIS TILL MAY 20. SELLING BY FIIs AND RISING INFLATION WEIGHED DOWN THE SENTIMENT